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CASE #	CASE NAME	HEARING NAME
CVRI2304785	420 HARLEY KNOX, LLC vs COTC MANAGEMENT, LLC	MOTION FOR PROTECTIVE ORDER

Tentative Ruling:

Moving party: Defendants COTC Management, LLC, 420-1, LLC (defaulted 7/8/2026), 420-3 LLC (defaulted 7/8/2026), Dustin Milner (Stayed as of 6/29/2026), LT Canna Distro, Inc., and Better Than Good Holdings, Inc.

Responding party: Plaintiff 420 Harley Knox, LLC

This is a commercial lease dispute. Plaintiff 420 Harley Knox, LLC ("Plaintiff") alleges that Defendants COTC Management, LLC ("COTC"), 420-1, LLC, 420-3, LLC, Dustin Milner ("Milner"), LT Canna Distro, Inc., and Better Than Good Holdings, Inc. refused to pay rent, abandoned the commercial premises located at 420 Harley Knox Boulevard, Perris, before the end of the lease term, and left the premises with damages concerning chemicals released. Plaintiff asserts that it has been damaged in the sum of at least \$1,737,606.35, plus interest. The complaint, filed 9/12/23, asserts a single cause of action for breach of lease, and alleges that each defendant is the alter ego of the other defendants.

Cross-Complainant COTC filed a Third Amended Cross-Complaint ("TACC") on 1/30/25 against Plaintiff 420 Harley Knox, LLC. It alleges that Plaintiff failed to address a single-utility-meter issue at the building, which forced COTC to pay for the electricity of another tenant, Virtual Innovations, LLC, which leased 73.7% of the same building. The TACC asserts: (1) breach of lease; (2) breach of the implied covenant of good faith and fair dealing; (3) breach of separate oral contract; (4) promissory estoppel; (5) promissory fraud/false promise.

On 3/19/26, Plaintiff added Defendant Talarya Brands, LLC as a doe defendant.
Trial originally set for 8/14/26 was vacated.

Now, Defendants COTC, 420-1, 420-3, Milner, LT Canna Distro, Inc., and Better Than Good Holdings, Inc. move for a protective order to block Plaintiff's second set of Special Interrogatories ("SROGs") and third set of Requests for Production of Documents ("RFPs"). These discoveries were served on 3/27/26. Defendants argue that Plaintiff's discovery requests are overbroad, burdensome, harassing, irrelevant, and cumulative. Defendants contend that Plaintiff's service of voluminous discovery requests on the eve of trial is unwarranted. Defendants argue that good cause for a protective order is shown and that Plaintiff's declarations of necessity are deficient. Finally, Defendants assert that Plaintiff is restricted to a cumulative total of 35 special interrogatories across all defendants who are "aligned in interest against a single opponent."

In opposition, Plaintiff argues that Defendants have failed to show good cause or provide specific facts showing the actual burden of responding. Plaintiff argues that Defendants 420-1 and 420-3 are suspended entities that cannot respond to discovery, so the discovery at issue totals only 189 requests (81 RFPs and 108 SROGs). Plaintiff asserts that the discovery is narrowly tailored and directly relevant to its alter-ego claims based on new information discovered during Milner's deposition on 3/13/26 and 3/16/26. Plaintiff also asserts that the 35-interrogatory limit applies to each party, but not collective across all defendants.

In reply, Defendants argue that Defendant Milner has now filed for bankruptcy on 6/24/26, which triggers an automatic stay of the action as to him. Defendants contend that they have now responded to 693 of the 1391 written discovery requests. Defendants argue that Plaintiff has failed to show why the voluminous discovery responses already produced are insufficient to prove its case.

Analysis

Meet and Confer

The parties are required to meet and confer before filing a motion for a protective order. (Code Civ. Proc., §§2016.040, 2030.090(a), 2031.060(a).) Code of Civil Procedure section 2016.040 requires a meet-and-confer declaration to "state facts showing a reasonable and good faith attempt, either ***in person, by telephone, or by videoconference***" to resolve disputes. A good faith meet and confer attempt requires more than just an attempt to persuade the objector of the error of his or her ways, it requires counsel to talk the matter over, compare their views, consult, and deliberate. (*Clemente v. Alegre* (2009) 177 Cal.App.4th 1277, 1294.) It requires a serious attempt by the moving party to informally resolve each issue with the responses. (*Id.* at 1293.) Arguments and debates do not constitute an earnest attempt to resolve discovery disputes. (*In re Marriage of Moore* (2024) 102 Cal.App.5th 1275, 1293.) The parties must present the merits of the respective positions, and "[o]nly after all the cards have been laid on the table, and a party has meaningfully assessed the relative strengths and weaknesses of its position in light of all available information, can there be a 'sincere' effort to resolve the matter." (*Id.* at 1293 [internal quotation marks omitted].) Defense counsel sent a letter on 4/13/26 and a follow-up email on 4/25/26. (Kneafsey Decl. ¶ 6.) Plaintiff's counsel did not provide a substantive response until 4/28/26, the day before the discovery responses were due. (*Id.*) Defense counsel stated that the parties "met and conferred ... the same day" but he does *not* identify how that meet and confer occurred. (*Id.*) A mere exchange of correspondence is not sufficient. Nevertheless, the court will decide the issue on the merits.

Standards

Code of Civil Procedure section 2017.020 permits the court to limit the scope of discovery "if it determines that the burden, expense, or intrusiveness of that discovery clearly outweighs the likelihood that discovery clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence." Section

§2019.030 permits the court to generally issue a protective order if: (1) the discovery “is unreasonable cumulative or duplicative, or is obtainable from some other source that is more convenient, less burdensome, or less expensive”; or (2) the discovery “is unduly burdensome or expensive, taking into account the needs of the case, the amount in controversy, and the importance of the issues at stake in the litigation.”

A motion for protective order must be sought promptly. (Code Civ. Proc., §§ 2030.090(a), 2031.060(a).) The discoveries were served on 3/27/26. Defendants filed this motion on 4/30/26 after obtaining a one-day extension from Plaintiff’s counsel. The motion is timely.

Automatic Stay as to Defendant Milner

Defendant Milner filed a Chapter 7 bankruptcy in the United States Bankruptcy Court for the Southern District of California, case no. 26-02680-7. Under 11 U.S.C. § 362(a), the filing of this petition triggers an automatic stay of the continuation of any judicial proceeding against the debtor. As such, this pending motion for a protective order and all outstanding discovery obligations as to Defendant Milner (individually) are stayed.

The Suspended Entities (420-1, LLC & 420-3, LLC)

The records show that Defendants 420-1, LLC and 420-3, LLC are suspended entities. A suspended corporation or limited liability company “lacks the legal capacity to prosecute or defend a civil action during its suspension.” (*Casiopea Bovet, LLC v. Chiang* (2017) 12 Cal.App.5th 656, 662.) As 420-1, LLC and 420-3, LLC are suspended, they cannot seek relief from this court or respond to the discoveries. Accordingly, the motion is deemed moot as to 420-1, LLC and 420-3, LLC.

Merits

At the heart of this motion is whether the volume of Plaintiff’s discovery is justified. There are 189 total active requests across the remaining viable defendants.

Special Interrogatories (SROGs)

Defendants argue the SROGs are cumulative and excessive. They point to a historical total of more than 1,300 discovery requests. The record, however, does not support that argument. Plaintiff previously withdrew 468 interrogatories and 150 RFPs. Defendants also previously answered only 35 SROGs served on each party. For the three active entity defendants (COTC, LT Canna, and Better Than Good Holdings), Plaintiff propounded a total of 108 SROGs. Plaintiff has also shown good cause to exceed the 35-interrogatory limit under Code of Civil Procedure section 2030.040(b) and produced the necessary declarations of necessity. Here, Plaintiff amended the complaint on 3/19/26 and 4/1/26 to add new doe defendants, Talarya Brands, LLC and LT Canna. Alter ego claims require factual discovery such as commingling of funds and assets, failure to segregate funds of the separate entities, diversion of funds for non-corporate uses, disregard of corporate formalities, and shared assets, to name a

few. (*Zoran Corp. v. Chen* (2010) 185 Cal.App.4th 799, 811-812.) During Milner's 3/13/26 and 3/16/26 depositions, he was unable to provide the relevant financial information of the entities. Written discoveries are a proper means to obtain that information. Defendants also fail to show undue burden. Their claim of undue burden is conclusory. Their motion does not include specific factual showing to quantify the "quantum of work required" to respond. (*West Pico Furniture Co. v. Superior Court* (1961) 56 Cal.2d 407, 417.) It simply asserts that the volume of discovery is too high for the case. This is insufficient. Defendants have not justified a blanket order excusing it from all discoveries. They have not shown good cause for a protective order. Accordingly, the court should deny the motion for a protective order for the SROGs propounded on COTC, LT Canna, and Better Than Good Holdings.

Requests for Production of Documents (RFPs)

As to the RFPs, they seek records concerning bank accounts, financials, assets, and shared operations with newly discovered entities. According to deposition testimonies, one of Defendants' entities relocated the company's operations, including employees and equipment, to a similarly licensed affiliate. The new entity was then authorized to operate in the same manner as a commercial cannabis manufacturer and distributor. The testimony also suggests that multiple affiliated businesses were operating from the same premises, with employees from other related companies working there without paying rent. These are relevant to Plaintiff's alter ego claims theories. Because Defendants have failed to identify which specific requests are overbroad and failed to produce evidence of the actual burden of production, there is no good cause under Section 2031.060(b).

Accordingly, the Court denies the motion for a protective order as to the RFPs propounded on COTC, LT Canna, and Better Than Good Holdings.

Under Code of Civil Procedure sections 2030.090(d) and 2031.060(h), monetary sanctions are mandatory against a party who unsuccessfully makes or opposes a motion for protective order, unless the court finds that party acted with "substantial justification" or that other circumstances make the imposition of sanctions unjust. Here, neither side requested sanctions. The court does not impose sanctions.

Summary

On the merits, deny the motion as to Defendants COTC Management, LLC, LT Canna Distro, Inc., and Better Than Good Holdings, Inc. Defendants to serve code-compliant responses within 20 days.

Deem the motion moot as to 420-1, LLC and 420-3, LLC due to their lack of capacity as suspended entities.

Stay this motion against Defendant Dustin Milner under 11 U.S.C. § 362(a).

No sanctions.